VAT Hub Overview and SME Compliance Simplifications

Source: https://zatca.gov.sa/en/RulesRegulations/VAT/Pages/default.aspx

Value Added Tax (VAT) is an indirect tax imposed on all goods and services that are bought and sold by businesses, with a few exceptions. VAT is applied in more than 160 countries around the world as a reliable source of revenue for state budgets.

Facilitating SMEs compliance with VAT:

Tax Return Filing: Filing an annual tax return for establishments whose annual taxable supplies do not exceed 40 million SAR.

Simplified Invoicing: Using a simplified tax invoice that includes the issuance date, supplier name and address, item/service description, payment amount, and VAT value. The invoice must be issued in Arabic and show the total price including VAT. If the total invoice value is less than 1,000 SAR, the VAT registration number of the supplier is not required.

Cash Basis Accounting: Using the cash basis accounting method for establishments whose annual supplies (current or previous year) do not exceed 5 million SAR.

VAT compliance requires fundamental changes to the organization's financial and accounting systems, including: Record Keeping, Accounting System, Financial Reporting.

Cooperating with professional accountants is a crucial step in ensuring proper VAT compliance. The Zakat, Tax and Customs Authority, in coordination with the Saudi Organization for Certified Public Accountants (SOCPA), has trained accountants to support establishments in this regard.

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